KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Petition No: OP 78 / 2023

Present : Sri T K Jose, Chairman
Adv. A J Wilson, Member
Sri. B Pradeep, Member

In the matter of	:	Petition for approval of Truing Up of accounts for the financial year 2022-23.
Petitioner	:	M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL)
Represented by	:	Sri. Raju Warrier, KDHPCL Sri. Sachin Prabhu, KDHPCL Sri. R. Jayaraman, KDHPCL
Respondent	:	M/s Kerala State Electricity Board Limited
Represented by	:	Sri. Rajan, Deputy Chief Engineer, TRAC, KSEB Ltd Sri. Ajith Kumar K.N, Executive Engineer, KSEB Ltd Sri.Shan B.S, Asst. Executive Engineer, KSEB Ltd Smt. Archana M, Asst. Engineer, KSEB Ltd
Date of hearing	:	13.02.2024 at the Court Hall, Office of the Commission

Order Dated 13.06.2024

1. M/s Kanan Devan Hill Plantations Company Private Limited (hereinafter referred to as KDHPCL, the petitioner or the licensee) is the distribution licensee supplying electricity in its license area at Munnar. KDHPCL procures electricity from KSEB Ltd for the supply to its consumers and for its own consumption.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. The licensee has filed the petition for truing up of accounts for the year 2022-23 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The present petition is for the first year of the Control Period. The Commission vide Order in OP No 28/2022 dated 26.02.2024 has approved the ARR&ERC for the Control Period. In the petition for truing up the accounts based on audited accounts, the licensee has claimed a **revenue surplus of Rs.45.62 lakh** compared to revenue gap of Rs.115.31 lakh approved by the Commission in the Order on ARR&ERC.

3. A comparison of the claim made in the present petition with the ARR&ERC figures for the year 2022-23 approved by the Commission is tabulated below.

Table 1
Comparison of ARR&ERC for the year 2022-23 (Rs. lakh)

Particulars	Approved ARR&ERC	Truing Up Petition
Power purchase cost	2,956.36	3161.70
Employee Expenses	167.50	179.80
Administration & General Expenses	13.88	30.50
Repair & Maintenance Expenses	42.01	57.54
Depreciation	13.07	13.11
Interest and Finance charges	41.38	59.02
Other debits	1.19	18.07
Return on Net Fixed Assets	7.03	6.34
Total Expenditure/ARR	**3,242.42**	**3526.08**
Revenue from Sale of Power	3,058.06	3518.24
Other income	69.05	53.16
Total Income/ERC	**3,127.11**	**3571.40**
Revenue (Gap)/Surplus	**-115.31**	**45.32**

4. The Commission admitted the petition as **OP No. 78/2023.**

Public Hearing on the Petition

5. The hearing on the petition for the Truing Up of Accounts for the year 2022-23 was conducted at the Court Hall, Office of the Commission on 13-02-2024. The licensee was represented by Sri. Raju Warrier, Sri. Sachin Prabhu and Sri. R. Jayaraman, of KDHPCL. Sri. Sachin Prabhu presented details on the petition and responded to the queries of the Commission.

6. In the hearing, it was submitted that the licensee has made few minor revisions in the Original petition. It was clarified that the revisions made were based on the adjustments to the various items of Income, Expenditure and surplus made by the Commission in the Order on approval of ARR& ERC for the control period 2022-23 to 2026-27 and the Order on truing up of accounts for the financial year 2021-22. **As per the revisions made in the petition, there is a revenue surplus of Rs.47.52 lakh for the year 2022-23.**

7. A comparison of the claim made in the revised petition with the ARR&ERC figures for the year 2022-23 approved by the Commission and with the previous year 2021-22 is tabulated below.

Table 2
Comparison of ARR&ERC for the period 2021-22 and 2022-23 (Rs. lakh)

Particulars	2021-22		2022-23		
	Truing Up Petition	Trued Up	ARR&ERC (A)	Truing Up Petition (B)	Difference (B) - (A)
Power purchase cost	2665.23	2661.77	2,956.36	3161.70	205.34
Employee Expenses	172.12	169.31	167.50	179.80	12.30
Administration & General Expenses	17.33	14.96	13.88	30.50	16.62
Repair & Maintenance Expenses	52.84	50.90	42.01	57.54	15.53
Depreciation	13.16	12.37	13.07	13.11	0.04
Interest and Finance charges	54.62	48.11	41.38	59.62	18.24
Other debits	14.08	1.13	1.19	18.07	16.88
Return on Net Fixed Assets	3.46	3.83	7.03	5.76	-1.27
Total Expenditure/ARR	**2992.84**	**2962.38**	**3,242.42**	**3526.10**	**283.68**
Revenue from Sale of Power	2955.48	2949.85	3,058.06	3508.93	450.87
Other income	50.97	71.25	69.05	64.69	-4.36
Total Income/ERC	**3006.45**	**3021.10**	**3,127.11**	**3573.62**	**446.51**
Revenue (Gap)/Surplus	**13.61**	**58.72**	**-115.31**	**47.52**	**162.83**

8. The main points made by the licensee are:

a) The number of consumers during the year 2022-23 is 16583 and the actual sale for the year is 484.90 lakh units.

b) The energy purchased from KSEB Ltd is 541.20 lakh units and the KSEB Energy Feedback is 49.30 lakh units. The Gross energy in the system during the year 2022-23 is 590.50 lakh units

c) The overall distribution loss for the year 2022-23 is 9.53% and the actual cost for the purchase of 541.20 lakh units is Rs.3161.70 lakh.

d) The Commission while approving the norms in the Tariff Regulations 2021 had approved the Operation and Maintenance Expense at Rs.223.39 lakh. The licensee in the petition has claimed total operation and maintenance expense of Rs.267.84 lakh.

e) The Employee cost claimed for the year 2022-23 is higher than the norms approved by the Commission. The claim for the year is Rs.179.80 lakh as against the approved employee cost of Rs.167.50 lakh.

f) The actual R&M expense for the year is Rs.57.54 lakh, which is higher than the approved R&M of Rs.42.01 lakh for the year.

g) The A&G expenses claimed for the year is Rs.30.50 lakh as against the approved amount of 13.88 lakh. The major amounts booked are Rent Rates & Taxes, legal charges, Audit fees, Conveyance and vehicle hire charges etc

h) The licensee during the year has made an asset addition of Rs.9.54 lakh which is towards replacement of energy meters.

i) The depreciation claimed for the year 2022-23 is Rs.13.11 lakh which is in line with the Tariff Regulations 2021.

j) An amount of Rs.59.62 lakh is claimed as interest and finance charges which includes interest on security deposit, Bank charges, Interest on Normative Loan and Interest on Working Capital

k) The licensee has claimed an amount of Rs.5.76 lakh as Return on Net Fixed assets.

l) Other debits, includes Rs.14.34 lakh towards Section 3(1) Duty under the Kerala Electricity Duty Act, Rs.1.22 lakh towards periodical inspection charges and Rs.2.51 lakh towards provision for doubtful debts.

m) The total expenditure incurred in 2022-23 is Rs. 3526.10 lakh.

n) The Revenue from the sale of 484.90 lakh units in 2022-23 is Rs.3508.93 lakh.

o) The Non-Tariff Income claimed by the licensee is Rs.64.69 lakh which is miscellaneous recoveries and interest on accumulated regulatory surplus.

p) The total revenue for the year 2022-23 is Rs.3573.62 lakh.

q) The revised petition for the truing up of accounts for the year 2022-23 is submitted with a revenue surplus of Rs.47.52 lakh.

9. KSEB Ltd submitted the following comments on the petition;

a. The licensee has claimed O&M expenses higher than the norms approved by the Commission. O&M expenses being controllable expenses, this may be limited to the approved level.

b. The licensee has accounted Rs.10.51 lakh towards interest on deposit with KSEB Ltd against Rs.10.72 lakh as per data of KSEB Ltd and the Commission may approve the other income based on prudence check.

c. The licensee has claimed GFA of Rs.431.76 lakh as on 01.04.2022 as against Rs.423.87 lakh after deducting Rs.14.96 created through consumer contribution. The Commission may calculate depreciation, interest and finance charges etc accordingly.

d. With regard to interest and finance charges, it was submitted that interest shall not be allowed for the asset addition created utilizing regulatory surplus and interest on working capital shall be allowed only based on approved O&M norms.

e. The licensee has claimed Section 3(1) Electricity Duty which may be disallowed as was done in the previous Truing up orders.

f. RoNFA at the rate of 5.50% may be approved after prudence check.

g. The Commission had specifically directed the licensee to conduct an age wise analysis of the receivables and to take steps to realise the

receivables and to write off the receivables which are bad and uncollectable against the provision already available. With regard to the claim towards doubtful debts, similar stand may be taken.

h. The energy purchase units of the licensee tally with the records of KSEB Ltd whereas the cost for the power purchased shows a minor difference in the records of KSEB Ltd.

Analysis and decision of the Commission

10. The Commission has carefully considered the petition for Truing Up of Accounts for the year 2022-23, the clarifications submitted by the licensee, the counter statements furnished by KSEB Ltd, the views presented by the licensee during the hearing and additional clarifications submitted by the licensee. The analysis and decisions of the Commission on the petition for truing up of accounts for the Financial Year 2022-23 are detailed below.

Energy sales and consumer mix

11. As per the petition, the total number of consumers is 16583 and the actual sale for the year is 484.90 lakh units. The licensee in the petition for approval of ARR&ERC had projected sales of 422.81 lakh units and the number of consumers was 15940. Compared to the previous year there is decrease in the number of consumers whereas an increase of 59.20 lakh units in sale of power. The decrease in the number of consumers is on account of decrease in LT I Domestic consumer category. The comparison of the number of consumers and the total sale of power are given below.

Table 3
Energy Sales and No. of Consumers for 2021-22 and 2022-23

Particulars	Trued Up 2021-22		Truing Up 2022-23	
	No. of Consumers	Sales (lakh units)	No. of Consumers	Sales (lakh units)
HT I A Industrial	22	281.60	22	316.60
HT II General	3	4.20	3	4.60
HT III Agriculture	2	3.40	2	3.40
HT IV Commercial	9	15.10	9	20.50
LT I Domestic	14504	76.80	14008	77.80
LT IV Industries	87	3.80	93	5.90
LT V Agriculture	6	0.10	7	0.20
LT VI Non-Domestic	954	15.00	948	17.80
LT VII Commercial	1225	22.30	1224	34.00
Street Lighting	270	3.30	265	3.90
LT TOD Tariff	3	0.10	2	0.20
Total	**17085**	**425.70**	**16583**	**484.90**

12. The licensee in the petition has stated that the increase in the sale is based on the increase in the consumption of HT I A Industrial consumer category and Commercial category of consumers. The increase in HT I A Industrial sales is on account of increase in the manufacturing of Tea and commercial category is due to improvement in Tourism and other commercial activities. ***Considering the increase in the sales, the Commission hereby approves the sale of 484.90 lakh units for the year 2022-23.***

Energy Requirement and Distribution Loss

13. As per Regulation 73, the licensee in the petition for approval of ARR&ERC had to provide voltage level distribution loss and distribution loss reduction trajectory for the Control Period with supporting studies and the Commission has to approve the target level of losses based on the opening level of losses, the figures filed by licensee and other relevant factors. The licensee had not proposed distribution loss reduction targets for the control period other than estimated a distribution loss of 10.00% for the control period. Distribution loss being a controllable parameter which is having direct impact on power purchase cost and available energy for distribution; it is a criterion that the licensees should continuously strive to improve upon, the Commission had approved a distribution loss of 9.60% for the year 2022-23.

14. The licensee in the truing up petition has claimed the distribution loss for the year 2022-23 as 9.53% which is lower than the distribution loss target of 9.60% approved for the year. Feedback energy of KSEB Ltd wheeled through the licensee's system is 49.30 lakh units. Feedback is the energy wheeled through the system of KDHPCL for the consumers of KSEB Ltd. Since the feedback is wheeled through the distribution lines of KDHPCL, the same is considered for the computation of distribution loss. It is seen that the loss for the year has reduced compared to year 2021-22. The distribution loss and energy requirement for the year 2022-23 compared to previous years is tabulated below;

Table 4
Comparison of Distribution loss and energy requirement

Particulars	2020-21		2021-22		2022-23
	For Truing up	Trued Up	For Truing up	Trued Up	For Truing up
Energy purchased (In lakh Units)	481.40	477.66	484.00	478.18	541.20
KSEB Energy Feedback (In lakh Units)	91.20	91.20	46.60	46.60	49.30
Gross energy in the system (In lakh Units)	572.60	568.86	530.60	524.78	590.50
Energy Sales (In lakh Units)	418.50	418.50	425.70	425.70	**484.90**
Distribution loss (In lakh Units)	62.90	59.16	58.30	52.48	56.30
Distribution loss %	**10.98%**	**10.40%**	**10.99%**	**10.00%**	**9.53%**

15. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...
.....

(3) Any variation between the actual level of distribution loss and the approved level of the distribution losses shall be dealt with, as part of the truing up of the respectivefinancial year in the following manner:-

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

16. As per Regulation 73, distribution loss is a controllable item, and its reduction is an efficiency parameter. Considering the fact that the licensee has achieved a distribution loss better than the distribution loss approved by the Commission, ***the Commission hereby approves the actual loss of 9.53% achieved by the licensee***. *The licensee shall take added efforts to reduce the losses further. Accordingly, the efficiency gain on distribution loss has to be shared in the ratio of 2:1 between the licensee and consumers i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. Considering the approved distribution loss of 9.60%, the approved energy requirement for the year 2022-23 as shown below:*

Table 5
Approved Energy input & Distribution Loss for the year 2022-23

Particulars	Approved in ARR	As per Truing up petition	Trued up
Energy Sales (lakh units) (1)	422.81	484.90	484.90
KSEB Ltd Energy Feedback (lakh units) (2)	92.09	49.30	49.30
Total Energy Output (lakh Units) (1+2)	514.90	534.20	534.20
Distribution Loss (%)	**9.60%**	**9.53%**	**9.60%**
Distribution Loss (lakh Units)	54.68	56.30	56.73
Gross energy ino the system (lakh units)	**569.58**	**590.50**	**590.93**
KSEB Ltd Energy Feedback (lakh units)	92.09	49.30	49.30
Energy purchase from KSEB Ltd (lakh units)	**477.49**	**541.20**	**541.63**

Power purchase cost

17. The licensee has claimed Rs.3161.70 lakh for 541.20 lakh units purchased from KSEB Ltd. As per the details given, the claim includes excess demand charges of Rs.6.78 lakh. The payment is the penal charge paid by the licensee for the energy purchased over and above the contract demand. The average power purchase cost for the year is Rs.5.84/unit. The details of Power Purchase cost is tabulated below.

Table 6
Details of the cost of power purchase claimed for 2022-23

Particulars	2022-23
Total Consumption in lakh units	590.50
Less: Feed Back to KSEB in lakh units	49.30
Billed Units	**541.20**
Demand Charges (Rs. lakh)	397.86
Excess Demand Charges (Rs. lakh)	6.78
Energy Cost (Rs. lakh)	2757.06
Total Power purchase cost (Rs. lakh)	**3161.70**
Average power purchase Cost (Rs. /kWh)	5.84

18. As seen from Table 6 above, the power purchase cost claimed by the licensee for the year 2022-23 is Rs. 3161.70 lakh. In the power purchase cost, the licensee has included Rs.6.78 lakh as excess demand charges. The Commission noted that, the licensee is consistently exceeding the contract demand, which results in payment of excess demand charges to KSEB Ltd during past years. The Commission remarked that it was not desirable to continue consistently breaching the existing contract demand and to pay excess demand charges. ***Therefore, the Commission hereby directs the licensee to either review the existing contract demand and take necessary steps to increase the contract demand or examine the demand pattern of its consumers and manage the load within the contract demand.***

19. At a distribution loss of 9.53%, the average power purchase cost works out to Rs.5.84 per kWh. Since the actual distribution loss is lower than the approved level of distribution loss, the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the year, is to be shared between the distribution business/licensee and the consumers in the ratio of 2:1. Accordingly, the approved power purchase cost for 2022-23 considering the savings on account of reduction in distribution loss is as shown below;

Table 7
Details of approved power purchase cost for 2022-23

1	Actual distribution loss (In lakh units)	56.30
2	Approved distribution loss (In lakh units)	56.73
3	Savings on distribution loss (2-1) (In lakh units)	0.43
4	Average power purchase cost (Rs. /kWh)	5.84
5	Efficiency gain at average power purchase cost (Rs. lakh) (3*4)	2.51
6	Efficiency gain to be retained by licensee (2/3rd) (Rs. lakh)	1.67
7	Actual power purchase cost (Rs. lakh)	3161.70
8	**Approved power purchase cost (Rs. lakh) (6-5)**	**3163.37**

20. ***Accordingly, the Commission hereby approves the power purchase cost of Rs.3163.37 lakh for the year 2022-23.***

Operation & Maintenance expenses

21. Operation & Maintenance expenses are controllable expenses and include expenses of Employee cost, Repair & Maintenance Expenses and Administrative & General Expenses. Regulation 80 (2) of the Tariff Regulations, 2021, clearly specifies that the distribution licensees shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure 7 of the Regulations. The Commission as per the above Regulation of the Tariff Regulations, 2021 had approved the licensee to recover O&M costs of Rs.223.39 lakh as per norms for the year 2022-23. The licensee has claimed as O&M expenses Rs.267.84 lakh in the petition. The Operation and Maintenance expenditure claimed for the year 2022-23 is higher than the norms approved in the Tariff Regulations, 2021. The comparison of O&M expenses for the year 2021-22 and 2022-23 are shown below:

Table 8
Comparison of O&M expenses for 2021-22 and 2022-23 (Rs. lakh)

Particulars	2021-22		2022-23	
	Truing Up petition	Trued Up	Norms	Truing Up petition
Employee Expenses	172.12	169.31	167.50	179.80
A&G Expenses	17.33	14.96	13.88	30.50
R&M Expenses	52.84	50.90	42.01	57.54
Total O&M Expenses	**242.29**	**235.17**	**223.39**	**267.84**

Employee Cost

22. The licensee for the year 2022-23 has claimed an amount of Rs.179.80 lakh as against Rs.167.50 lakh approved in the Order on ARR &ERC. The details of the claim made by the licensee are tabulated below.

Table 9
Comparison of Employee Cost for the year 2021-22 and 2022-23 (Rs.lakh)

Particulars	2021-22		2022-23	
	Truing Up	Trued Up	ARR Approved	Truing Up
Basic Salary	72.33	**169.31** Norms of 145.66 + wage revision of 23.65	**167.50**	72.85
Dearness Allowance (DA)	10.80			13.48
Leave Travel Allowance	0.44			0.41
Earned Leave Encashment	1.38			1.46
Other Allowances	7.69			7.39
Medical Reimbursement	0.53			-
Overtime Payment	35.49			37.86
Bonus/Ex-Gratia Payments	3.43			3.42
Staff welfare expenses	1.19			0.71
Provident Fund Contribution	10.34			11.13
Salary of Manager & Executive - Electricals	14.53			15.87
Share of Directors. Mgmt. Staff Salaries	13.97			15.22
Gross Employee Expenses	**172.12**	**169.31**	**167.50**	**179.80**

23. As per the petition, the total number of workers/staff is 60 which include 40 technical staffs. During the previous year 2021-22, the licensee had claimed an amount of Rs.172.12 lakh. The Commission after prudence check had approved only Rs.169.31 lakh considering the norms approved by the Commission, and wage revision.

24. The licensee in the petition has submitted that they have claimed employee expenses for 60 employees out of which 30 employees are located at various estates spread over the license area. The licensee further submitted in the truing up petition that for 25 employees out of the above said 30 employees, only 50% of their cost is charged to the distribution operations. The licensee also submitted that all the employees other than management staff are members of employees' unions and their wage/salary structures are fixed through industry wide triennial wage settlements. The category-wise split up of the employee costs claimed by the licensee is shown below:

Table 10
Category-wise split of the employee cost for 2021-22 and 2022-23

Particulars	Actual 2021-22		Actual 2022-23	
	No	Rs/Lakhs	No	Rs/Lakhs
Technical Officers	3	16.71	3	17.13
Switching Station Operations	4	16.86	3	17.74
Technical Staff	40	80.86	40	81.69
Other Workers	11	16.88	11	19.55
Non-Technical Staff	3	9.55	3	11.23
Share of Management Staff Expenses		28.50		31.09
Other Allowances, Medical & Welfare expense		2.76		1.37
Total	**61**	**172.12**	**60**	**179.80**

25. The employee cost has increased by Rs.7.68 lakh compared to the previous year which is 4.46% higher than the previous year which is attributable to the increase in wages and salaries on account of yearly increments. The reasoning submitted by the licensee for the increase over the previous year are the following;

- Increase in Basic and DA on account of yearly increment - Rs.4.34 lakh
- Increase in fixed overtime (component of Basic and DA) - Rs.1.37 lakh
- Increase in management staff proportionate expenses - Rs.2.59 lakh

Total increase over previous year - Rs.7.68 lakh

26. The licensee in the petition has submitted that there are two types of overtime expenses included in the employee costs which are fixed and variable overtime. Fixed overtime is paid to staff and non-staff category of workers as per Industry-wise Staff settlement purely on their attending to duty and without having to work beyond the office hours. The amount of fixed overtime during the year is Rs.25.89 lakh. Variable Overtime is paid for working beyond normal working hours and weekends, holidays which is required to restore line faults happening after working hours. The variable overtime during the year is Rs.10.93 lakh.

27. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period.

28. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (last Table under para 3(iii) of Annexure-7) of the O&M expenses of KDHPCL. The details are given below.

Table 11
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	160.35	167.50	174.96	182.75	190.89	199.39
R&M Expenses	40.22	42.01	43.88	45.83	47.88	50.01
A&G Expenses	13.29	13.88	14.50	15.14	15.82	16.52
Total	**213.86**	**223.39**	**233.34**	**243.73**	**254.59**	**265.93**

29. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7

permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) *The average of the increase in the CPI & WPI indices, for the 4-year period(2017-18 to 2020 -21), as given in Table- 1 below:*

Table- 1
Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI:WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase @* ***70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

30. As discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs.213.86 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2022-23 is Rs.223.39 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while Truing up of the respective years. The actual inflation rate of the year 2022-23 is arrived as detailed below.

Table 12
Actual inflation for the year 2022-23

Sl No	**Particulars**	**2021-22**	**2022-23**
1	Consumer Price Index (2016 price level)	123.6333	131.1167
	Increase in CPI in 2022-23 over 2021-22		6.05%
2	Whole Sale Price Index (base year 2011-12)	139.4	152.5
	Increase in WPI in 2022-23 over 2021-22		9.40%
3	Weighted average increase (70% CPI & 30%WPI)		**7.06%**

31. Based on the actual escalation of 7.06% in the year 2022-23, the revised O&M expenses of KDHPCL is approved by the Commission considering actual inflation is given below.

Table 13
Revised O&M expenses of KDHPCL approved for the year 2022-23 considering Actual Inflation (Rs. lakh)

Particulars	**Base year**	**Control Period- 2022-23**	
	2021-22	**Actual inflation**	**O&M Approved**
Employee Cost	160.35	7.06%	**171.67**
R&M Expenses	40.22	7.06%	**43.06**
A&G Expenses	13.29	7.06%	**14.23**
Total	**213.86**		**228.96**

32. The Commission further notes that, Vide Order dated 26.02.2024 (ARR&ERC Order) the Commission had already mentioned that, the O&M expense being a controllable expense may be limited to the approved norms and if the licensee feels that the norms for Employee cost fixed in the current control period (2022-27) is inadequate, the licensee can file a separate petition showing the details and justification for revising the norms adequately to compensate the actual employee cost while truing up the accounts. The licensee has not submitted any petition till the date. Further the Commission pointed out that, the licensee should take all efforts to limit the O&M expenses within the normative level and any additional expenses relating to pay revision, uncontrollable

factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission.

33. ***Accordingly, the Commission hereby approves the employee expenses of Rs.171.67 lakh based on actual inflation rate for the year 2022-23 against the licensee's claim of Rs.179.80 lakh.***

Administration & General Expenses

34. The licensee has claimed A&G expenses higher than the norms fixed by the Commission. As against the norm of Rs.13.88 lakh, the licensee has claimed Rs.30.50 lakh as the actual A&G expenses for the year 2022-23. A comparison of the Administrative and General expenses over the years is tabulated hereunder.

Table 14
Details of A&G expenses over the years (Rs.lakh)

	2020-21		2021-22		2022-23
Particulars	**Truing Up**	**Trued Up**	**Truing Up**	**Trued Up**	**Truing Up**
Rent Rates & Taxes	0.40	0.40	3.63	3.63	1.20
Insurance	0.38	0.38	0.84	0.84	1.05
Telephone & Postage, etc.	0.05	0.05	0.01	0.01	-
Legal charges	1.02	0.00	2.37	0.00	10.38
Audit Fees	0.50	0.50	0.50	0.50	6.64
Travelling expenses	0.07	0.07	0.25	0.25	0.11
Conveyance and vehicle hire charges	0.89	0.89	1.45	1.45	1.69
Electricity charges	0.46	0.46	0.29	0.29	0.35
Printing & Stationery	0.72	0.72	0.94	0.94	1.30
Miscellaneous Expenses	4.07	4.07	4.85	4.85	4.93
License Fee and other related fee	0.89	0.89	0.86	0.86	0.90
Security arrangements	0.89	0.89	1.34	1.34	1.95
Gross A&G Expenses	**10.34**	**9.32**	**17.33**	**14.96**	**30.50**

35. As shown in the table above, it is seen that there is significant increase in the A&G expense over the years. As per the details, the major increase is in legal charges and audit fees. The licensee has submitted the reason for the increase in the A&G expenses compared to the previous year. With regard to the increase in Rent Rates & Taxes, the licensee has stated they have booked the fees paid to the Commission under the head and the fee towards ARR & ERC petition is the reason for the increase under the head. The licensee has stated that the increase in insurance is due to general escalation in the Premium charges.

36. The licensee in the truing up petition has claimed Rs.10.38 lakh as Legal Charges incurred towards fee and expenses paid to the advocates to file appeal before the Appellate Tribunal for Electricity against the orders of KSERC. During the previous year also, the licensee claimed similar expenses

and the Commission has taken a consistent stand that the expenses incurred towards legal proceedings cannot be charged to the A&G expenses unless there is an order from the respective Courts regarding payment of costs***. Accordingly, Commission is of the considered stand that the same cannot be considered as part of A&G expenses.***

37. With regard to the claim of Rs.6.64 lakh as Audit fee, the licensee has stated that the expenditure includes Rs.5.14 lakh towards electricity audit as mandated by Bureau of Energy Efficiency (BEE) and Rs.1.50 lakh towards audit fee for statutory audit.

38. The Commission examined the submission of the licensee and noted that, the addition expenses of Rs.5.14 lakh towards the audit fee was incurred due to the change in law (Electricity audit as mandated by Bureau of Energy Efficiency (BEE)). ***Therefore, the Commission hereby approves Rs.5.14 lakh as Energy Audit fee under A&G expenses.***

39. ***Considering Para 31 of this Order, the Commission has already approved Rs.14.23 lakh as A&G Expenses based on actual inflation rate for the year 2022-23.*** **Accordingly, the Commission hereby approves an amount of Rs.19.37 lakh (Rs.14.23 lakh + Rs.5.14 lakh) as the A&G expenses for the year 2022-23.**

Repair and Maintenance Expenses

40. The Commission has approved an amount of Rs.42.01 lakh while approving the ARR & ERC for the year 2021-22. The licensee in the petition has claimed Rs.57.54 lakh for the repair and maintenance of plant and machinery, buildings, vehicles, lines, substations, 11 kV lines & associated works, LT line service etc. The Commission while approving the Order on truing up of accounts for the year 2021-22 had approved an amount of Rs.50.90 lakh as against the claim of Rs.52.84 lakh. The comparison of the R&M expenses over the years is as shown below.

Table 15
Split up of R&M expenses (Rs. lakh)

Particulars	2020-21	2021-22		2022-23
	Claimed and Trued Up	Truing Up	Trued Up	Truing Up
Plant & Machinery	1.24	1.50	Actual of 2020-21 escalated by 4.84% (48.55+2.35)	3.49
Buildings	6.11	1.66		0.24
Lines & Cable Networks	27.84	33.22		36.85
Vehicles	3.29	4.45		3.89
LT Lines, Upkeeps, etc.	10.07	12.01		13.07
Gross R&M Expenses	**48.55**	**52.84**	**50.90**	**57.54**

41. Compared to the previous year, the major difference is for expenses towards R&M of plant and machinery, lines and cables, LT Lines, Upkeeps. The licensee has stated that the increase in R&M expenses of plant and machinery is on account of increase in maintenance to electrical equipment.

42. The Commission noticed that the various items of expenses incurred for R&M works were of routine maintenance expense and there is no one-time expense which can be allowed over and above the norm. As per the Tariff Regulations, 2021, there is provision for allowing onetime expenses incurred, not in the nature of regular R&M expenses. Since there is no convincing reasoning for higher expenses ***considering Para 31 of this Order, the Commission has already approved Rs.43.06 lakh as R&M Expenses based on actual inflation rate for the year 2022-23. Accordingly, the Commission hereby approves an amount of Rs.43.06 lakh as the R&M expenses for the year 2022-23.***

Summary of O&M Expenses approved for 2022-23

43. The summary of O&M expenses approved by the Commission for the year 2021-22 is shown below.

Table 16
O&M expenses approved for 2022-23 (Rs. lakh)

Particulars	ARR&ERC	Truing Up	Trued Up
Employee Expenses	167.50	179.80	171.67
Administration & General Expenses	13.88	30.50	19.37
Repair & Maintenance Expenses	42.01	57.54	43.06
Total O&M Expenses	**223.39**	**267.84**	**234.10**

Asset Addition during the year 2022-23

44. The licensee during the year 2022-23 has made an asset addition of Rs.9.54 lakh which is towards replacement of energy meters. As per the details submitted by the licensee, the energy meters were replaced in Nullatanni Estate (Rs.4.46 lakh), Town area (Rs.0.41 lakh) and Periavurrai Estate (Rs.4.67 lakh) which were capitalised in November 2022. Regarding the asset additions of energy meters, the Commission had provisionally approved the replacement of energy meters vide order No. OP 28/2022 dated 26.02.2024. Considering this approval and details submitted by the licensee, t***he Commission hereby approves the assets addition of Rs.9.54 lakh for the year 2022-23. The Commission hereby directs the licensee to remove the value of the old meters which were replaced from the value of GFA, NFA and Accumulated depreciation and ensure that necessary changes have been made while calculating Normative loan and Return on NFA. Further the scrap value, if any, on realization to be included under Other Income.***

Depreciation

45. The licensee in the petition has claimed depreciation of Rs.13.11 lakh for the year 2022-23.in the straight-line method as per the Tariff Regulations, 2021.

"27. Depreciation. –

(1) Depreciation shall be calculated on the original capital cost of the asset as approvedby the Commission:

Provided that, no depreciation shall be allowed on the increase in value of the assets, on account of revaluation of assets:

Provided further that the depreciation shall not be allowed on the assets created through consumer contribution, deposit works, capital subsidies and grants.

(2) The generation business/ company or transmission business/ licensee or distributionbusiness/ licensee shall be permitted to recover depreciation on the approved capital cost of fixed assets used in their respective business, computed in the following manner:-

(i) "depreciation shall be allowed upto a maximum of 90% of the approved capital cost of asset.

(ii) depreciation shall be computed annually based on the straight line method at the rates specified in Annexure 1 to these Regulations for the first thirteen financial years from the date of Commercial operation;

(iii) the remaining depreciable value as on the thirty first day of March of the financial year ending after a period of thirteen financial years from the date of Commercial operation shall be spread over the balance useful life of the assets;

(iv) the generating business/ company or transmission business/ licensee or distribution business/ licensee, shall file all such details and documentary evidence, as may be required under these Regulations and as may be required by the Commission from time to time, to substantiate the above claims;

(v) No depreciation shall be allowed for assets created through consumer contribution, deposit works, capital subsidies and grants;

(vi) the salvage value of the fully depreciated asset shall be ten per cent of the allowable capital cost as approved by the Commission;

Provided that the salvage value of Information Technology equipment and computer software shall be considered at zero percent of the allowable capital cost.

(3) …….. ……"

46. For assets over 13 years, the licensee has stated that depreciation has been allowed at lower rates.

Table -17

Depreciation claimed for the year 2022-23 (Rs. lakh)

Asset Group	GFA as at 01.04.22	Asset Addition	Rate of depreciation	Depreciation
Asset over 13 years				
Transformers	164.39	-	0.97%	1.60
Distribution lines	40.16	-	0.97%	0.39
Meters	21.91	-	0.97%	0.21
IT Equipment	0.10		-	-
Others	12.66	-	0.35%	0.04
Sub-total	**239.22**	**-**		**2.24**
Asset below 13 years				
Transformers	127.93	-	5.28%	6.75
Distribution lines	-	-	5.28%	-
Meters	55.75	9.54	5.28%	2.94
IT Equipment	5.44	-	15.00%	0.82
Others	3.42	-	6.33%	0.22
Sub-total	**192.54**	**9.54**		**10.73**
Grand Total	**431.76**	**9.54**		**12.97**
As per audited accounts				13.11
Excess depreciation				**0.14**

47. The licensee has pointed out that there has been a deviation in the accounting policy for calculation of depreciation in the Tariff Regulations, 2021 with the predecessor regulation, the Tariff Regulation, 2018, which specifies lower rate for assets over 12 years as against 13 years in the regulation in force. Accordingly, the deviation results in excess charge for depreciation for the current year alone to match the written down value of the of the assets calculated as per the requirements of the Tariff Regulation, 2021. The licensee in the petition has submitted the details of the fixed assets along with the petition.

48. After verifying the detailed calculations, **the Commission hereby approves the depreciation amount of Rs.12.18 lakh after deducting the corresponding depreciation amount of Rs.0.79 lakh for Consumer Contribution (Rs.14.96 lakh) for the year 2022-23.**

Interest and finance charges

49. The Commission in the Order on ARR & ERC had approved Rs.41.38 lakh as interest and finance charges including interest on normative loan, interest on working capital, interest on security deposits and Bank Charges on Bank Guarantee/L.C to KSEB. The licensee in the petition for Truing Up of accounts has claimed Rs.59.62 lakh as interest and finance charges which includes interest on security deposit, Interest on normative loan, interest on working capital and bank charges. The claim of the licensee is tabulated below:

Table 18

Comparison of Interest & Finance charges (Rs.lakh)

Particulars	2021-22			2022-23	
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition
Interest on Normative Loan	19.09	5.36	5.73	6.92	5.31
Interest on Working Capital	28.80	28.48	28.43	23.65	34.55
Interest on Security deposits	17.73	8.03	8.03	8.34	9.12
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	2.72	3.92	3.92	2.47	3.75
Bank Charges on Rs 7.18 Cr Bank Guarantee to KSEB	-	6.83	-	-	6.89
Shortfall in interest on security deposit to consumers	-	2.00	2.00	-	-
Total	**68.34**	**54.62**	**48.11**	**41.38**	**59.62**

50. Each of the items claimed under interest and finance charge is examined below.

a) Interest on normative loan

51. The licensee has in this petition claimed interest on normative loan as shown below.

Table 19

Interest on Normative Loan Claimed 2022-23 (Rs. lakh)

Particulars	Truing Up Petition
Net Normative loan – Opening	77.59
Increase/Decrease due to ACE/de-capitalization during the year	9.54
Less - Repayment of Normative Loan during the year	13.11
Net Normative loan – Closing	74.02
Average Normative Loan during the year	75.81
Average Base Rate of SBI during the year (%)	7.00%
Interest on the normative loan for the year	**5.31**

52. The licensee has stated that SBI's MCLR as on 1st April 2022 being 7.00% has been adopted for the computation of interest on normative loan. The Commission in the Order on truing up for 2021-22 has worked out the closing normative loan for 2021-22 as Rs.77.59 lakh which has been considered as the opening normative loan for the year 2022-23.

53. The Commission has examined the licensee's submission with reference to the provisions of the Regulations. As per Regulation 29(2) the normative loan outstanding as on the First day of April 2022 shall be worked out by deducting the amount of cumulative repayment as approved by the Commission up to the Thirty First day of March, 2022, from the normative loan. As per second proviso to Regulation 29 (4) of the Tariff Regulations 2021, if there is no actual loan portfolio, interest charge is to be allowed at the base rate. The base rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank

of India as applicable on first day of April of respective financial year. Based on the asset addition for the year, the normative loan is worked out as shown below.

Table 20
Normative loan approved for 2022-23

No	Particulars	(Rs. lakh)
1	**Normative loan at the beginning of the year**	**77.59**
2	Add: Additional Normative loan during the year	9.54
3	Less: Allowable Depreciation/ Repayment for the year	12.18
4	**Closing Normative loan for the year (2+3-4)**	**74.95**
5	Average Loan for the year (1+4)/2	76.27
6	Rate of Interest (%)	6.65*
7	**Interest on Normative loan for the year**	**5.07**

**EBLR of SBI as on 01-04-2022*

54. ***Accordingly, the interest on normative loan approved by the Commission for the year 2022-23 is Rs.5.07 lakh.***

b) Interest on Working Capital

55. In the licensee's Truing up petition for 2022-23, they have claimed interest on working capital of Rs.34.55 lakh as against the ARR approved amount of Rs.23.65 lakh and the details are shown below.

Table 21
Working capital proposed by the licensee for 2022-23 (Rs. lakh)

Particulars	Approved ARR/ERC	Truing up Petition
O & M Expenses- One month	18.62	22.32
Receivables-2 months	509.68	584.82
Less: security Deposit from consumers	254.84	223.27
Total working Capital	273.46	383.87
Interest rate (%)	8.65%	*9.00%
Interest on working capital	**23.65**	**34.55**

**SBI 1-year MCLR 7.00% on 01-04-2021 plus 2% thereof total 9.00%*

56. As per the Tariff Regulations 2021, Regulation 32 states that interest on working capital for a distribution licensee is to be computed in the following manner. The relevant portion of Regulation 32 is quoted hereunder;

> *"32. Interest on working capital. – (1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-*
>
> *.....*
>
> *(v) In the case of distribution business/licensee the working capital shall comprise of:-*
>
> *I. operation and maintenance expenses for one month; plus*
>
> *II. cost of maintenance spares equivalent to one-twelfth of the average of the*

book value of stores, materials and supplies at the beginning and end of the financial year; plus

III. receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;

Provided further that for distribution business/licensees who supply electricity to their consumers on prepaid metering system, no interest on working capital shall be allowed.

……..

(2) Interest on normative level of working capital as per this Regulation shall be allowed at a rate equal to two percentage higher than the base rate as on the first day of April of the respective financial year, in respect of which the petition for approval of Aggregate Revenue Requirement and determination of tariff is filed"

57. The licensee has worked out the interest on working capital requirement as per the provisions of the Tariff Regulations 2021, where the interest rate considered is SBI 1 year MCLR rate. As per the provisions of the regulations, base rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India. Based on the approved O&M expenses and revenue from sale of power and the EBLR rate, ***the Commission approves Rs.32.96 lakh as interest on working capital for the year 2022-23 as worked out below:***

Table 22
Interest on Working capital approved for 2022-23

Particulars	**(Rs. lakh)**
Approved O & M Expenses for One month (234.10/12)	19.51
Receivables-2 months Revenue from sale of power (3508.93/12 x 2)	584.82
Less: Security Deposit from Consumers	223.27
Total Working Capital	**381.06**
Interest Rate (%) *	8.65
Interest on Working Capital	**32.96**

**SBI 1-year EBLR – 6.65% on 01-04-2022 plus 2% thereof total 8.65%*

c) Interest on the security deposit

58. The licensee has submitted that the interest provided on security deposit from consumers at the rate of 4.25% was Rs.9.12 lakh and claimed that as per Regulations 72 of the Kerala Electricity Supply Code 2014, they have to pay to the consumer interest on security deposit at the bank rate. Compared to the previous year, there is increase in interest on security deposit. The licensee has stated that the increase in interest on security deposit from consumers by Rs.1.09 lakh compared to the previous year is on account of increase in deposits from Rs.196.29 lakh in the previous year to Rs.223.27 lakh in the current year. The Commission noticed that interest is payable during the

current year on the amount of security deposit held at the beginning of the year. Therefore, interest is admissible on the amount of Rs.196.29 lakh being security deposit held as on 01.04.2022.

59. ***After examining the details, the Commission hereby approves Rs.8.34 lakh being the actual interest paid on security deposit for the year 2022-23.***

d) Bank Charges on Bank Guarantee/L.C to KSEB Ltd

60. The licensee has claimed Bank charges amounting to Rs.10.64 lakh for the year 2022-23 out of which Rs.3.75 lakh is relating to the Letter of Credit issued in favour of KSEB Ltd to secure monthly power purchase bills and Rs.6.89 lakh is towards the bank charges on Rs.7.18 crore Bank Guarantee provided to KSEB Ltd as per the directions of the Hon. Supreme Court of India in civil appeal 2144/2011. The split up of the claim is shown below.

Table 23
Bank Charges Claimed

Particulars	(Rs. lakh)
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	3.75
Bank Charges on Rs 7.18 Cr Bank Guarantee to KSEB Ltd	6.89
Total	**10.64**

61. The licensee has submitted that the claim of Rs.3.75 lakh is towards the bank charges for opening the letter of credit to KSEB Ltd as per the power purchase agreement. ***Considering the same, the Commission hereby approves the bank charges of Rs. 3.75 lakh for opening letter of credit.***

62. With regard to the bank guarantee provided to KSEB Ltd as per the Orders of Hon. Supreme Court, the Commission in the previous orders has specifically directed the licensee that bank guarantee charges for the above purpose shall not be included in the allowable expenses. This is because the licensee has filed first appeal against the order of the Commission approving the arrear amount payable to KSEB Ltd. In the first Appeal, Hon. APTEL has upheld the order of the Commission. The licensee has filed second appeal before the Hon. Supreme Court and Hon. Supreme Court in the interim order, directed to provide bank guarantee for the said amount. ***The Commission is of the opinion that pending the outcome of the case before the Hon'ble Supreme Court, this amount shall not be considered at present.***

63. ***Accordingly, the Commission approves only Rs.3.75 lakh, i.e., the Bank Charges on L.C to KSEB Ltd. as part of interest and finance charges.***

Summary of the interest and finance charges

64. The interest and finance charges approved for the year 2022-23 in the process of truing up is detailed below.

Table 24
Interest & Finance charges approved for the year 2022-23 (Rs.lakh)

Particulars	ARR Approved	Truing Up Petition	Trued Up
Interest on Normative Loan	6.92	5.31	5.07
Interest on Working Capital	23.65	34.55	32.96
Interest on Security deposits	8.34	9.12	8.34
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	2.47	3.75	3.75
Bank Charges on Rs 7.18 Cr Bank Guarantee to KSEB	-	6.89	-
Total	**41.38**	**59.62**	**50.12**

Other Debits

65. The licensee in form D.4.3 has claimed Rs.18.07 lakh under other debits which includes Section 3(1) Duty under the Kerala Electricity Duty Act, periodical inspection charges and Provision for doubtful Debts. The details of the claim is tabulated below;

Table 25
Details of Any other items (Rs.lakh)

Particulars	2020-21		2021-22		2022-23
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Section 3 Duty	11.47	0.00	12.95	0.00	14.34
Inspection Charges	1.13	1.13	1.13	1.13	1.22
Provision for doubtful Debt	0.35	0.00	0.00	0.00	2.51
Total	**12.95**	**1.13**	**14.08**	**1.13**	**18.07**

66. As shown above, the licensee has included Section III duty, inspection charges and provision for doubtful debts under other debits. The Commission has not been admitting Section 3(1) Duty as a revenue expenditure since as per the Kerala Electricity Duty Act, the Electricity Duty under this Section on the sales of energy should be borne by the Licensee and shall not be passed on to the consumers.

67. The Commission has, in its previous orders also, consistently pointed out that the Electricity Duty payable by the licensee under Section 3 (1) of the Kerala Electricity Duty Act cannot be passed on to the consumers and it cannot be admitted as an item of expenditure in the Truing Up Petition. ***Hence, the Commission disallows the licensee's claim of Rs.14.34 lakh as Section 3(1) duty.***

68. With regard to the claim of Rs.2.51 lakh as provision for doubtful debts, the Commission has been disallowing the claim as no amount is written off during the year as Bad debt and the amount claimed is only a provision created for doubtful debts during the year. ***Since the amount is not declared as Bad debt and not written off in the accounts, the Commission hereby disallows the claim***.

69. The licensee has also claimed Rs.1.22 lakh as periodical inspection charges under other debits. The Commission considers the same and approves Rs.1.22 lakh, the periodical inspection charges under other debits. ***Accordingly, the Commission after disallowing the claim under Section 3(1) duty and provision for doubtful debts approves an amount of Rs.1.22 lakh as Other debits for the year 2022-23.***

Return on Net Fixed Assets

70. The licensee has claimed Return on NFA for the year 2022-23 computed as per Regulation 28 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. As per Regulation 28(2) of the Tariff Regulations 2021, if there is no equity invested in the business or equity invested in the regulated business of the distribution licensee is not clearly identifiable, return at the rate of 5.50% shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business. Accordingly, the licensee has claimed a RoNFA at the rate of 5.50% on the net fixed assets at the beginning of the financial year. The licensee has claimed Rs.6.34 lakh as RoNFA in the petition and the details are tabulated below:

Table 26
Computation of RONFA claimed for 2022-23 (Rs.lakh)

Particulars	Approved ARR-ERC	Truing up Claim
Gross fixed assets as at 1st April 2022	450.79	431.76
Less: Accumulated depreciation	241.51	241.53
Less: Consumer contribution	7.89	7.89
Less: GFA for which interest is allowed	86.92	67.00
Balance value of Net fixed assets at the beginning of the year	114.47	115.34
Rate of Return	5.50%	5.50%
Eligible Return	**6.30**	**6.34**

71. The Commission while approving the ARR & ERC for the year 2022-23 had approved Rs.6.30 lakh as RoNFA. During the control period for 2022-23 to 2026-27, the Commission has allowed the interest charges on a normative basis for the assets added (after deducting depreciation) since the transfer of license, treating the same as fully funded through loans as per the provisions of the Regulations. The Commission had not allowed any additional return in the

form of Return on NFA for the entire assets up to 2021-22. However, the Commission noted that the assets additions during the Control period is done by the licensee with an approval from the Commission, the licensee is reasonably eligible for finance charges thereon. Considering this, the Commission hereby considers opening balance of NFA of Rs.127.76 lakh for the year 2022-23 and the licensee is also eligible for the Return on NFA for the asset's addition during the current Control period.

72. Considering the above paragraph, ***the Commission hereby approves Rs.7.03 lakh as RoNFA for the year 2022-23 as tabulated below***:

Table 27
Approved RoNFA for 2022-23

Sl. No.	Particulars	Rs. lakh
1	Opening Value of NFA at the beginning of the year (01-04-2022)	127.76
2	Rate of Return (%)	5.50%
3	Return on Net Fixed Assets (Rs.lakh)	7.03

Revenue from Sale of Power

73. For the year 2022-23 the revenue from sale of power is Rs.3508.93 lakh from the sale of 484.90 lakh units. There is increase in the revenue compared to the previous year due to increase in sale. The average revenue realisation for the year is 7.24/unit. A comparison of the category wise revenue from sale of power for the years 2021-22 and 2022-23 is as shown below:

Table 28
Revenue from sale of power for 2021-22 and 2022-23

Particulars	2021-22				2022-23			
	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization
HT IA Industrial	22	281.60	1980.03	7.03	22	316.60	2310.81	7.30
HT II (Non Ind/Comml)	3	4.20	37.59	8.95	3	4.60	44.60	9.70
HT III Agriculture	2	3.40	15.82	4.65	2	3.40	17.22	5.06
HT IV Commercial	9	15.10	139.18	9.22	9	20.50	186.90	9.12
LT I Domestic	14504	76.80	358.84	4.67	14008	77.80	375.20	4.82
LT IV Industries	87	3.80	29.51	7.77	93	5.90	41.30	7.00
LT V Agriculture	6	0.10	0.36	3.60	7	0.20	0.50	2.50
LT VI Non-Domestic	954	15.00	136.39	9.09	948	17.80	161.07	9.05
LT VII Commercial	1225	22.30	234.34	10.51	1,224	34.00	348.96	10.26
LT VIII Public Lighting	270	3.30	16.81	5.09	265	3.90	21.00	5.38
LT TOD Tariff	3	0.10	0.98	9.80	2	0.20	1.37	6.85
Total	**17085**	**425.70**	**2949.85**	**6.93**	**16,583**	**484.90**	**3508.93**	**7.24**

74. As per the above table, the majority of sales pertain to the HT category which consists of 36 consumers. It is seen that the actual sale for the year is higher than the previous year and there is visible increase in the sales of the commercial category of consumers. The increase in average revenue

realization is on account of revision in RST vide Tariff Order OP 11/2022 with effect from 26th June 2022. The increase in HT I A Industrial sales is on account of increase in the manufacturing of Tea and commercial category is due to improvement in Tourism and other commercial activities. Considering the growth in sales and improvement in business activity of the licensee, ***the Commission hereby approves the revenue from sale of power at Rs.3508.93 lakh for the purpose of Truing Up of Accounts for the year 2022-23.***

Non-Tariff Income

75. The licensee has claimed an amount of Rs. 64.69 lakh as non-tariff income. A comparison of the non-tariff income is tabulated hereunder.

Table 29
Details of Non-Tariff income claimed

Particulars	2021-22		2022-23
	Truing Up Petition	Trued Up	Truing Up Petition
Interest on Deposit with KSEB	-	14.84	10.51
Provision for Interest on Deposit with KSEB	-	-	(10.51)
Miscellaneous recoveries	5.33	5.33	3.44
Interest on accumulated Surplus	48.06	47.87	51.94
Other Operational Income	-	5.63	9.31
Less: Writeback of excess provision for doubt full debts	(2.42)	(2.42)	0
Total	**50.97**	**71.25**	**64.69**

76. Compared to the claim of the previous year, the non-tariff income has reduced by Rs.6.33 lakh which is on account of decrease in miscellaneous receipts. The licensee has stated that the miscellaneous receipts include excess advance received for electrification written back. The licensee further stated that, KSEB Ltd has not yet paid the interest accrued on security deposit due to the Petitioner. Considering the same, the licensee made provision for this accrued income as a doubtful debt in their books of accounts due to lack of certainty in the recovery of the same. It was also submitted that another reason for non-inclusion of interest on security deposit was non-inclusion of the amount of Security deposit provided to KSEB Ltd as working capital for working out interest on working capital. The security deposit to KSEB Ltd was a one-time payment which would be increased only when the contract demand was increased by the licensee.

77. The Commission, on scrutiny of the audited accounts, had noted that during the year there is no cash outflow by way of security deposit to KSEB Ltd and found no merit in the claim of inclusion of the amount of security deposit for working out interest on working capital. Accordingly, the Commission had consistently adopted the view that interest on security deposit with KSEB Ltd has to be reckoned as Non-tariff income. For the current year also, the Commission is of

the same view and approves Rs.10.51 lakh (247.28*4.25%) which was claimed by the licensee during the year 2022-23. Regarding the issue of non-receipt of interest on security deposit from KSEB Ltd, the Commission reiterates the direction to take up the matter with KSEB Ltd for appropriate action. ***Therefore, the Commission is approving Rs.10.51 lakh being the amount of interest on security deposit worked out by the licensee. The Commission also approves Rs.12.75 lakh claimed by the licensee being Rs.3.44 lakh as miscellaneous recoveries and Rs.9.31 lakh as other operational income.***

78. The Commission further notes that the licensee has accounted the interest on accumulated surplus as part of the non-tariff income in the Truing Up petition. The cumulative regulatory surplus at the end of the year 2021-22 as per the Truing Up Order dated 23-11-2023 is Rs. 1034.08 lakh. The Commission has been approving the notional interest on accumulated revenue surplus at the SBI retail term deposit rate for a tenure up to one year prevailing as on 01.04.2022, which is 5.10%. ***Accordingly, the interest for the accumulated revenue surplus of Rs.1034.08 lakh is Rs.52.74 lakh at the rate of 5.10%.***

79. The licensee further stated vide letter dated 23.11.2023 that the Commission had approved an additional amount of Rs.13.22 lakh towards employee costs for the year 2018-19 in paragraph 45 of the Truing Up Order 2019-20. Due to this approval, the interest on accumulated surplus for the year 2019-20 mentioned in paragraph 99 of the Order dated 12.05.2021 for that year would be Rs.62.50 lakh (6.80% of Rs.919.19 lakh) instead of Rs.63.40 lakh originally approved in Truing Up Order 2019-20. The Commission has already adjusted the differential amount of Rs.0.90 lakh in the interest on accumulated surplus for the year 2021-22 vide Order dated 26.02.2024 and the accumulated revenue surplus of Rs.1034.08 lakh is arrived at after this adjustment. ***Accordingly the Commission approves a total Non-tariff income of Rs.76.00 lakh during the year 2022-23 as tabulated below.***

Table 30
Non-Tariff Income approved for 2022-23 (Rs lakh)

Particulars	2022-23	
	Truing Up Petition	Trued Up
Interest on Deposit with KSEB	10.51	10.51
Provision for Interest on Deposit with KSEB	(10.51)	-
Miscellaneous recoveries	3.44	3.44
Interest on accumulated Surplus	51.94	52.74
Other Operational Income	9.31	9.31
Less: Writeback of excess provision for doubt full debts	0	0
Total	**64.69**	**76.00**

Revenue Surplus/Gap for 2022-23

80. Based on the above, the approved expenditure and revenue for the year 2022-23 after truing up is as shown below.

Table 31
Trued up Income and Expenditure for the Year 2022-23 (Rs. lakh)

Particulars	2022-23		
	ARR&ERC Approved	Truing Up Petition	Trued Up
Power purchase cost	2956.36	3161.70	3163.37
Employee Expenses	167.50	179.80	171.67
Administration & General Expenses	13.88	30.50	19.37
Repair & Maintenance Expenses	42.01	57.54	43.06
Depreciation	13.07	13.11	12.18
Interest and Finance charges	41.38	59.62	50.12
Other debits	1.19	18.07	1.22
Return on Net Fixed Assets	7.03	5.76	7.03
Total Expenditure/ARR	**3242.42**	**3526.10**	**3468.02**
Revenue from Sale of Power	3058.06	3508.93	3508.93
Other income	69.05	64.69	76.00
Total Income/ERC	**3127.11**	**3573.62**	**3584.93**
Revenue (Gap)/Surplus	**-115.31**	**47.52**	**116.91**

Orders of the Commission

81. The Commission after considering the petition filed by M/s. KDHPCL for Truing up of accounts for the year 2022-23, and details provided by the licensee approves the following.

    a) Total revenue is Rs.3584.93 lakh.

    b) Total expenditure is Rs3468.02. lakh.

    c) The revenue surplus for the year is Rs.116.91 lakh.

    d) The cumulative revenue surplus till 2022-23 will be Rs.1150.99 lakh (Rs. 1034.08 lakh + Rs.116.91 lakh). The licensee shall keep the surplusarrived at after the truing up process in a separate fund and utilize it as per orders of the Commission.

82. The petition is disposed of. Ordered accordingly.-

Sd/-
Sri. T.K Jose
Chairman

Sd/-
Adv. A. J. Wilson
Member

Sd/-
Sri. B. Pradeep
Member

Approved for Issue
Sd/-
C.R.Satheesh Chandran
Secretary